

Quarterly Report on Form 10-Q

Northstar Cloud Services, Inc. (NYSE: NCLS)

For the quarterly period ended June 30, 2024 (Q2 fiscal year 2024)

SYNTHETIC SAMPLE DOCUMENT. This is a fictional company and every figure below is invented for testing purposes. This report is provided as a synthetic example and has not been reviewed by the Securities and Exchange Commission (SEC) or any auditor.

Item 2. Management's Discussion and Analysis

Total revenue was \$912 million for the quarter covered by this report, an increase of 11% compared with \$824 million in the comparable prior-year period. Growth reflected higher customer demand across our principal operating segments.

Gross margin was 64.3% for the period, compared with 61.7% in the comparable prior-year period, reflecting changes in product mix, operating scale, and cost management initiatives.

Operating income was \$168 million, compared with \$139 million in the comparable prior-year period. Operating expenses increased as we continued investing in technology, personnel, and growth initiatives.

Net income was \$126 million, compared with \$101 million in the comparable prior-year period.

Segment Results

Revenue and operating income by reportable segment for the period were as follows.

Segment	Period Revenue	Prior-Year Revenue	Period Operating Income
Cloud Infrastructure	548	481	104
Managed Services	246	229	51
Cybersecurity	118	114	13

Cloud Infrastructure was the largest segment by revenue, contributing \$548 million during the period.

Condensed Consolidated Balance Sheets

Item	June 30, 2024	December 31, 2023
Total current assets	386,200	341,700
Total assets	1,942,600	1,781,400
Total current liabilities	289,500	261,800
Total liabilities	821,700	774,200
Total stockholders' equity	1,120,900	1,007,200

Total assets were \$1,942,600 thousand and total stockholders' equity was \$1,120,900 thousand at the end of the reporting period.

Condensed Consolidated Statements of Cash Flows

Net cash provided by operating activities was \$284 million, compared with \$219 million in the comparable prior-year period. Net cash used in investing activities was \$96 million, while net cash used in financing activities was \$38 million.

Item 1A. Risk Factors

Revenue depends on continued adoption of cloud infrastructure and managed services. Customers may reduce technology spending during periods of economic uncertainty.

We operate data centers and depend on uninterrupted power, connectivity, and specialized equipment. Service interruptions could affect customer relationships and operating results.

Cybersecurity incidents or unauthorized access could result in service disruptions, remediation costs, and reputational harm.

Item 4. Controls and Procedures

Based on an evaluation as of the end of the period covered by this report, management concluded that the company's disclosure controls and procedures were effective. No change in internal control over financial reporting occurred during the reporting period that has materially affected, or is reasonably likely to materially affect, internal control over financial reporting.